

19. Principle

The amount borrowed or the amount still owed on a loan, separate from interest. Also known as the original amount invested, separate from earnings.

20. SIP (Systematic Investment Plan)

A plan where investors make regular, equal payments into a mutual fund, trading account, retirement account or any other investment accounts. By using a systematic investment plan, investors benefit from the long-term advantages of rupee-cost averaging and the convenience of saving regularly without taking any actions except the initial setup of the SIP.

21. Taxpayer

An individual or a legal entity that pays taxes.

22. Tax Deduction at Source (TDS)

One of the modes of collecting income tax from assesses in India. The tax is deducted at the source of income generation e.g. at the time of salary disbursement.

23. Income Tax Returns (ITR)

It is mandatory for every income earning citizen in India to file Income Tax Returns (ITR) at the end of every financial year. All declaration of total income, any other adjustments to the taxes paid are all done while filing one's Income Tax Returns.

24. Capital Asset

Assets used to make money, as opposed to assets used for personal enjoyment or consumption e.g. stocks, bonds or real estate.

25. Portfolio

Portfolio literally means a "case for carrying loose papers". In our context, it is a collection of investments held by an investment company, hedge fund, financial institution or individual.

26. Risk Appetite